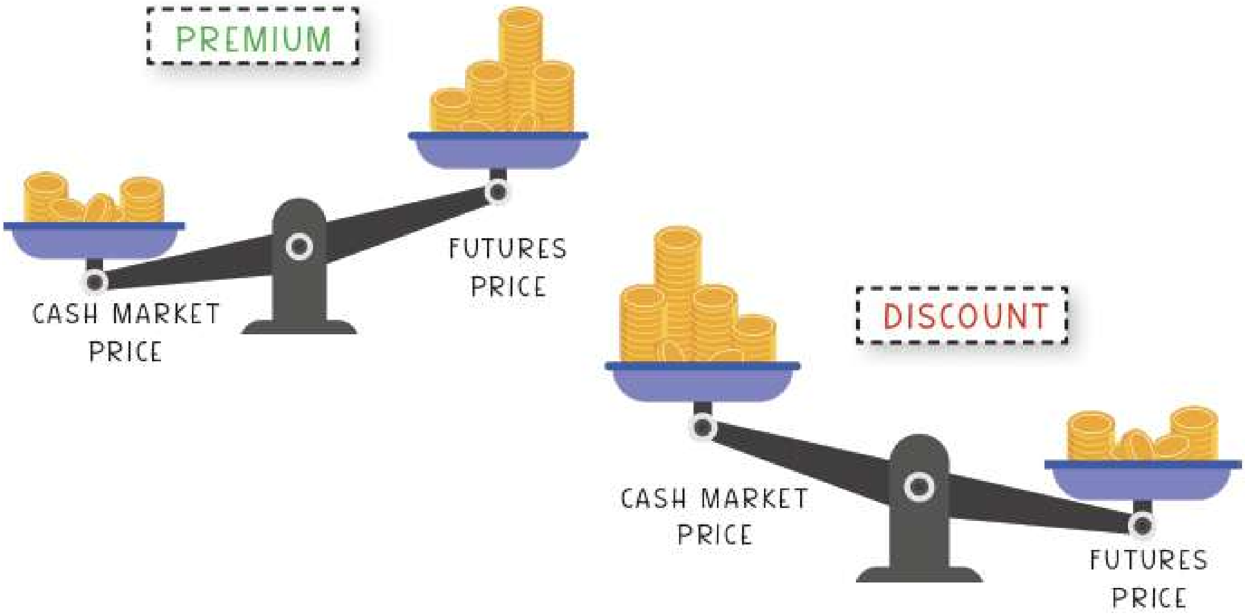
PREMIUM OR DISCOUNT

Future contracts quote at a similar price as the underlying asset but not exactly same. If the future contract is quoting higher than the cash market, it is called Premium. If it quoting at a price lower than the cash market, it is called Discount.



Let's say that each share of TCS is trading for ₹2150. Now, if the future contract is quoting for ₹2175, then we can say that it is trading at a premium. If the contract is trading at ₹2125, then we can say that it is trading at a discount. It is suggested to check for at least 5 companies, if the future contract is trading at a discount or premium.